

26STCV13978 26STCV13978

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCV13978 Hearing Date: July 20, 2026 Dept: 311

SUPERIOR

COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil

Division

Central

District, Stanley Mosk Courthouse, Department 311

Tentative

Ruling

26STCV13978

CINDY

ARITA, AS TRUSTEE OF THE CINDY ARITA-SALVADOR SEPARATE PROPERTY TRUST, et al.

vs D&S ASSOCIATES, LLC, A CALIFORNIA LIMITED LIABILITY COMPANY, et al.

July

20, 2026

8:30

AM

NATURE OF PROCEEDINGS:

DEFENDANTS D & S ASSOCIATES, LLC AND D.F. ASSOCIATES' AND NOMINAL DEFENDANT

D & S PARTNERS, L.P.'S MOTION TO COMPEL ARBITRATION AND STAY ACTION PENDING

ARBITRATION.

RULING:

All

Plaintiffs and Defendants shall arbitrate the controversies between them including this entire action, with the sole exception of the “Appointment of Receiver” parts of the Third and Fourth Causes of Action of the Complaint that the Court orders severed and not compelled.

This

case is stayed until such arbitration is had in accordance with this Order, except as to the receivership portion ordered severed.

The

Court schedules Status Conference re: Arbitration on July 16, 2027 at 8:30 a.m. Parties shall file a Joint Status Report re: Status of Arbitration no later than July 6, 2026.

Defendant

shall give notice.

I.

BACKGROUND

The

Court incorporates by reference the Background section of the Minutes entered on July 7, 2026.

On June 22, 2026, D&S

ASSOCIATES, LLC, D & S PARTNERS, L.P., and D.F. ASSOCIATES' (Defendants) filed the Motion to Compel Arbitration and to Stay, based on a Partnership's Restated Agreement of Limited Partnership. (See Terrie Doizaki Declaration, filed 6/22/26, Exhibit A).

Plaintiffs make counterarguments

including that they and some Defendants are not signatories to the agreement, equitable estoppel is inapposite, and derivative and receivership claims cannot be compelled.

II.

LEGAL STANDARD

Parties

petitioning to compel arbitration have the burden to prove the existence of a valid arbitration agreement by a preponderance of evidence, and parties opposing have the burden to prove by a preponderance of the evidence any fact necessary to a defense. (Gonzalez v. Nowhere Beverly Hills LLC (2024) 107 Cal.App.5th 111, 121.)

In

order to determine arbitration-clause scope, courts should give effect to the parties' intentions, in light of the usual and ordinary meaning of the language, and the circumstances of the agreement. (Titolo v. Cano (2007) 157 Cal.App.4th 310, 317.) "Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute." (California Correctional Peace Officers Ass'n v. State (2006) 142 Cal.App.4th 198, 205.)

If a court has ordered

arbitration, it shall stay the pending action until an arbitration is had in accordance with the order to arbitrate, or another earlier time, and the stay may be with respect to an issue that is severable. (Code Civ. Proc., § 1281.4; Mattson Tech., Inc. v. Applied Materials, Inc. (2023) 96 Cal.App.5th 1149, 1161.)

"An order denying

arbitration is generally reviewed for abuse of discretion. [Citation.] The de novo standard of review applies only where the trial court's denial of a petition to arbitrate presents a pure question of law." (Barsegian v. Kessler & Kessler (2013) 215 Cal.App.4th 446, 450.) Justices review, for substantial evidence, orders denying motions to compel arbitration that are based upon factfinding. (Arzate v. ACE American Ins. Co. (2025) 108 Cal.App.5th 1191, 1198.) "When ... no conflicting extrinsic evidence is introduced to aid the interpretation of an agreement to arbitrate, the Court of Appeal reviews de novo a trial court's ruling on a petition to compel arbitration. (California Correctional Peace Officers Ass'n v. State (2006) 142 Cal.App.4th 198, 204.)

III.

ANALYSIS

Defendants maintain that Plaintiffs as Limited Partners are required to arbitrate the Complaint's claims, pursuant to the Limited Partnership Agreement's broadly worded arbitration provision, notwithstanding arbitrators' lack of jurisdiction to appoint receivers (citing *Larkin v. Williams, Woolley, Cogswell, Nakazawa & Russell*, 76 Cal. App. 4th 227, 230-231). (See Motion, 2:7-16 and 6:2.) Defendants further maintain that Plaintiffs are intended beneficiaries pursuant to Limited Partnership Agreement section 9.10, and equitable estoppel applies because Plaintiffs expressly based the Complaint on the agreement.

Plaintiffs argue that only four of thirteen parties signed the agreement and six Defendants did not sign, Plaintiffs are not bound as heirs, they are not estopped due to an inability to benefit from the agreement to arbitration, and the Partnership as related to derivative claims is not bound as to which no published California case is on point (Opposition, p. 8.) Plaintiffs also contend that arbitration is not enforceable as to the Complaint seeking a receivership.

“‘[A]bsent the parties’ commitment of the arbitrability decision to an arbitrator, disagreements over whether a particular dispute is within the scope of an arbitration provision are ordinarily the responsibility of a court.’” (*Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 765.) Parties may agree that arbitrators have jurisdiction to decide whether arbitration provisions are enforceable, but such language must so provide “ ‘clearly and unmistakably.’ ” (*Parada v. Superior Court* (2009) 176 Cal.App.4th 1554, 1566.) AAA rules permit the arbitrator to rule on jurisdictional objections and to determine arbitrability issues. (*Mondragon v. Sunrun Inc.* (2024) 101 Cal.App.5th 592, 606.) However, even where delegation clauses clearly and unmistakably provide that arbitrators shall have exclusive authority to resolve any dispute, a properly contested issue whether the parties even entered into an agreement to arbitrate at all, is for the courts to decide. (*Mendoza v. Trans Valley Transp.* (2022) 75 Cal.App.5th 748, 776.)

Generally, arbitration is a matter of contract, and a party cannot be required to arbitrate a dispute unless agreed. (*Ajida Technologies, Inc. v. Roos Instruments, Inc.* (2001) 87 Cal.App.4th 534, 541; *Lopez v. Charles Schwab & Co., Inc.*

(2004) 118 Cal.App.4th 1224, 1233.)

“A nonsignatory to an agreement to arbitrate may be required to arbitrate, and may invoke arbitration against a party, if a preexisting confidential relationship, such as an agency relationship between the nonsignatory and one of the parties to the arbitration agreement, makes it equitable to impose the duty to arbitrate upon the nonsignatory.” (Westra v. Marcus & Millichap Real Estate Investment Brokerage Co., Inc. (2005) 129 Cal.App.4th 759, 765.)

Generally, a nonsignatory cannot enforce an arbitration clause against another nonsignatory party based upon an agreement entered into by the principals. (Nguyen v. Tran (2007) 157 Cal.App.4th 1032, 1038-1039.) “[U]nless a party to an arbitration agreement has used the substantive terms of that agreement as the foundation for his claims against a nonsignatory, there is no reason in equity why he should be forced to arbitrate his claims against the nonsignatory.” (Goldman v. KPMG, LLP (2009) 173 Cal. App. 4th 209, 235.) (Underscoring added.)

“When a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.... There is no reason why this doctrine should not be equally applicable to a nonsignatory plaintiff.” (JSM Tuscany, LLC v. Superior Court (2011) 193 Cal.App.4th 1222, 1239, 1241 [“there is no rational basis to limit this conclusion to claims expressly based on ... breach The equitable estoppel doctrine extends to claims that are dependent upon or inextricably intertwined with the obligations imposed by the contract containing the arbitration clause.”].)

Regarding equitable estoppel, an opinion cited in opposition (Opposition, 7:7) distinguishably involved a complaint not based upon an arbitration-related agreement. (See DMS Servs., LLC v. Superior Court (2012) 205 Cal.App.4th 1346, 1355 [“there is no basis to find that the complaint against ZSC for breaching the claims administration agreement is “intimately founded in” the deductible agreement containing the arbitration clause.”].) Another cited case (Opposition, 7:10) distinguishably involved a complaint based on an agreement that was not the same as the arbitration agreement. (See Jones v. Jacobson (2011) 195

Cal.App.4th 1, 21 ["Of the 21 causes of action asserted by the Joneses, only two are based on contract and both of those causes of action are against the Jacobson appellants for breach of the joint venture agreement, which has nothing to do with the account agreement."].)

And heirs can be bound, depending upon the arbitration agreement. For example, arbitration agreements of patients expressly applicable to nonsignatory heirs, are enforceable. (Ruiz v. Podolsky (2010) 50 Cal.4th 838, 849.)

Regarding the receivership, arbitrable claims and remedies (e.g., injunctive relief) should be severed from those that are inarbitrable and sent to arbitration. (Broughton v. Cigna Healthplans (1999) 21 Cal.4th 1066, 1088.) Code of Civil Procedure, "section 1281.8 does not authorize an arbitrator to appoint a receiver." (Marsch v. Williams (1994) 23 Cal.App.4th 238, 246.)

Here, preliminarily, the Court notes that the agreement provides that the arbitrator, and not the Court, decides the arbitration compelling issues. (Terrie Doizaki Declaration, filed 6/22/26, Exhibit A (Limited Partnership Agreement) § 9.1 ("Any controversy concerning whether a dispute is an arbitrable dispute or as to the interpretation or enforceability of this Section 9.1 shall be determined by the arbitrator.").)

But Plaintiffs assert that they are not signatories to the Limited Partnership Agreement and its terms. So, the Court rules on the issue whether the case is arbitrable as to them. Limited Partnership Agreement, section 9.10, provides that the agreement is intended for the benefit of the Partners, and their successors and assigns, but not any others with narrow exceptions. That is one basis to find Plaintiffs subject to arbitration compelling.

Additionally, Plaintiffs heavily based the Complaint upon the Limited Partnership Agreement, such as in the Second Cause of Action for "BREACH OF LIMITED PARTNERSHIP AGREEMENT", expressly incorporated by reference into every Cause of Action alleged thereafter (E.g., Complaint, ¶ 129 ("Plaintiffs hereby incorporate by reference all preceding paragraphs").)

As for derivative claims, the Court determines, as an issue of first impression in California, that equitable estoppel applies, including because (1) there are arbitrable derivative claims against some signatory defendants, (2) the broad scope of the arbitration provision covers the claims, and (3) the Complaint is dependent upon and inextricably bound up with the arbitration agreement. (Cf. *Long v. Silver* (4th Cir. 2001) 248 F.3d 309, 313–314, 316–317, 319 [holding an agreement to arbitrate included nonsignatory shareholders' derivative claims where equitable estoppel applied].)

IV.

CONCLUSION

In summary, the Court compels all parties in this case to arbitrate, based upon the agreement's express applicability to signatories and partners, and otherwise based on equitable estoppel as to the nonsignatories and partnership, with the sole exception of severed receivership aspects of the Complaint that may be heard in the assigned Department.